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❖ What is Accounting?

Accounting is the process of **recording, summarizing, and reporting** all the money-related activities of a business.

👉 Simple words:

Accounting = keeping record of all business money (income, expenses, assets, liabilities).

It helps a business know:

- how much money it has
- how much it earns
- how much it spends
- profit or loss

🔷 Functions of Accounting (V.IMP)

Here are the main functions:

1. Recording (Bookkeeping)

All financial transactions (sales, purchases, cash, expenses) are written in books.

👉 Simple: **Write every money-related activity.**

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2. Classifying

Recorded data is grouped into categories:

- sales
- purchases
- salary
- rent
- machinery

👉 **Simple:**

Arrange the transactions into groups.

4. Analyzing

Check why profit increased or decreased, why cost went up, etc.

👉 **Simple:**

Study the reports to understand business performance.

3. Summarizing

All classified data is summarized to prepare:

- Profit & Loss Account
- Balance Sheet
- Cash Flow Statement

👉 **Simple:**

Make final reports from the records.

5. Interpreting

Explain the results to owners, managers, banks, etc.

👉 **Simple:**

Tell what the numbers mean.



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6. Communicating

Share financial information with:

- management
- investors
- banks
- government

👉 **Simple:**

Give financial reports to people who need them.

7. Safeguarding Assets

Ensures proper control of:

- cash
- stock
- machinery
- furniture

👉 **Simple:**

Protect business property from misuse.

8. Assist in Decision Making

Helps manager decide:

- pricing
- budgeting
- investments
- cost control

👉 **Simple: Helps the business take correct decisions.**

9. Legal Compliance

Helps maintain records required by:

- GST
- Income Tax
- Companies Act

👉 **Simple:**

Follow government rules.

❖ What is a Balance Sheet?

A **Balance Sheet** is a **financial statement** that shows the **financial position** of a business on a particular date.

👉 Simple words:

Balance Sheet = What the business owns (assets) and what the business owes (liabilities).

It is prepared at the end of every accounting period (like 31st March).

❑ Main Components of Balance Sheet

A Balance Sheet has **two major sides**:

1. Assets (What the business owns)

These are the properties and resources of the business.

❖ Types of Assets:

a) Fixed Assets

- Used for a long time.
- Building
- Machinery



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b) Current Assets

- Converted into cash quickly.
- Cash
- Bank balance
- Stock
- Debtors (customers who owe money)

c) Intangible Assets

- Non-physical assets.
- Goodwill
- Patents
- Trademarks

👉 **Simple words:**

Assets = things that give benefit to the business.

2. Liabilities (What the business owes)

These are obligations or amounts payable.

❖ **Types of Liabilities:**

a) Long-term Liabilities

Payable after many years.

- Loans
- Mortgages

b) Current Liabilities

Payable within one year.

- Creditors
- Outstanding expenses
- Short-term loans

👉 **Simple words:**

Liabilities = money the business has to pay to

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3. Owner's Equity (Capital)

This is the owner's investment in the business.

Capital = Assets – Liabilities.

- Owner's investment
- Profit added
- Less withdrawals

👉 **Simple:**

Capital = owner's share in the business.

❖ Objectives of a Balance Sheet :

1. To show financial position

Tells the exact financial condition of the business on a given date.

2. To know assets and liabilities

Shows:

- What the business owns
- What it owes



3. Helps in decision making

Owners and managers understand:

- How much to invest
- How much to borrow
- How to manage resources

4. Helps investors and banks

Banks check the balance sheet before giving loans.

Investors check financial strength before investing.

5. Legal requirement

Companies must prepare a balance sheet every year as per law.

6. Helps calculate financial ratios

Ratios like:

- liquidity
- solvency
- profitability

These help measure business performance.



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❖ **Preparing the balance sheet with hypothetical Example : (V.V.VIMP)**

As on 31st March 2024

❑ **Liabilities | Amount (₹)**

1. **Capital** – 1,00,000
2. **Loan from Bank** – 50,000
3. **Creditors** – 20,000
4. **Outstanding Expenses** – 5,000

Total Liabilities = 1,75,000

❑ **Assets | Amount (₹)**

1. **Cash in Hand** – 15,000
2. **Cash at Bank** – 25,000
3. **Debtors** – 20,000
4. **Stock (Inventory)** – 30,000
5. **Furniture** – 15,000
6. **Machinery** – 70,000

Total Assets = 1,75,000

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Now Balance Sheet :

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital	1,00,000	Cash in Hand	15,000
Loan from Bank	50,000	Cash at Bank	25,000
Creditors	20,000	Debtors	20,000
Outstanding Expenses	5,000	Stock	30,000
		Furniture	15,000
		Machinery	70,000
Total	**1,75,000**	**Total**	**1,75,000**



❖ **Classification of Assets :**

1. Fixed Assets

Used for long time (more than 1 year).

Examples: Building, Machinery, Furniture

2. Current Assets

Easily converted into cash within 1 year.

Examples: Cash, Bank, Stock, Debtors

3. Intangible Assets

Non-physical assets.

Examples: Goodwill, Patents, Trademarks

4. Fictitious Assets

Not real assets but shown on asset side.

Examples: Preliminary expenses, Discount on issue of shares

❖ **Classification of Liabilities :**

1. Long-Term Liabilities

Payable after more than 1 year.

Examples: Bank loan, Debentures

2. Current Liabilities

Payable within 1 year.

Examples: Creditors, Outstanding expenses, Short-term loan

3. Contingent Liabilities

Dependent on future events (may or may not happen).

Examples: Bills discounted, Court cases

4. Owner's Equity (Capital)

Owner's investment in the business.

Examples: Capital, Retained profits

❖ Assessment of Economic Viability :

Economic viability means checking whether a project is **economically profitable** and worth investing in.

👉 Simple words:

Economic viability = Will the project give more benefits than costs?

If yes → project is economically viable.

It helps decide whether to **start**, **continue**, or **reject** a project.

❑ Why Economic Viability is Important?

- ✓ To avoid financial loss
- ✓ To check long-term profitability
- ✓ To understand cost vs. income
- ✓ To help in loan approval
- ✓ To compare different project options



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❖ Important Techniques for Assessing Economic Viability : (V.IMP)

Here are the most commonly used techniques:

1. Cost–Benefit Analysis (CBA)

Compares:

Total Costs of the project

Total Benefits expected

👉 If **Benefits > Costs**, project is good.

👉 **Simple words:** Compare money spent vs. money earned.

2. Net Present Value (NPV)

NPV = Present value of future cash inflows – Present value of costs.

👉 If **NPV positive → project profitable**

👉 Simple: **Today's value of future profit.**

3. Internal Rate of Return (IRR)

IRR = The rate at which NPV becomes zero.

👉 If **IRR > bank interest / required return**, accept the project.

❖ Important Techniques for Assessing Economic Viability : (V.IMP)

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❖ Process of Assessing Economic Viability

1. **Identify Costs –** List all expenses of the project.
2. **Identify Benefits –** List all expected income and profits.
3. **Estimate Cash Flow –** Calculate yearly inflow and outflow of money.
4. **Choose Discount Rate –** Select interest rate to calculate present value.
5. **Calculate Present Value –** Convert future money to today's value.
6. **Compare Costs and Benefits –** If benefits > costs → project is viable.
7. **Make Decision –** Accept or reject the project.

❖ Decision Making is the Essence of Managing :

The statement means that **decision making is the most important part of management**.
A manager's main job is to **make correct decisions** because every activity in an organization depends on decisions.

👉 Simple words:

A manager cannot manage without making decisions.
Good decisions = good management.

❖ Why Decision Making is the Essence of Managing?

1. All managerial functions need decisions

Planning, organizing, staffing, directing, and controlling ALL start with decisions.
Example: What to produce? How much to produce?

2. Decisions guide the entire organization

Employees follow the decisions made by managers.
Wrong decisions can harm the organization.



3. Decisions solve problems

Every problem in business is solved by choosing the best option.

Decision = choosing the best solution.

4. Resources are used based on decisions

How to use money, people, machines, and materials is decided by the manager.

5. Decisions affect success or failure

Good decisions → profit

Bad decisions → loss

Thus, decisions are the **heart** of management.

6. Future planning depends on decisions

Managers must decide future goals, strategies, and policies.

7. Decision making links all activities

It connects planning → action → results.

Without decisions, no work can start.

❖ What is Production Planning?

Production Planning means deciding **in advance**:

- What to produce
- How to produce
- When to produce
- Who will produce

👉 Simple:

Production planning is **preparing a plan** to make sure products are made smoothly and o
time.

❖ Main Elements of Production Planning

1. Planning

Setting goals and deciding the production method.

2. Routing

Selecting the **path/sequence** of operations.
(Which machine will do what work)

3. Scheduling

Deciding **when** each job will start and finish.

4. Loading

Assigning work to **specific machines or workers**.

❖ What is Production Control?

Production Control ensures that the production plan is followed properly.
It checks the actual work and corrects problems.

👉 Simple:

Production control = **monitoring and fixing** the production process.

❖ Steps Involved in Production Control (V.VIMP)

1. Dispatching

Sending instructions to start production.
Example: Giving orders to workers or machines to begin work.

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2. Follow-up (Progressing)

Tracking the progress of work.

Checking if production is happening on time.

3. Inspection

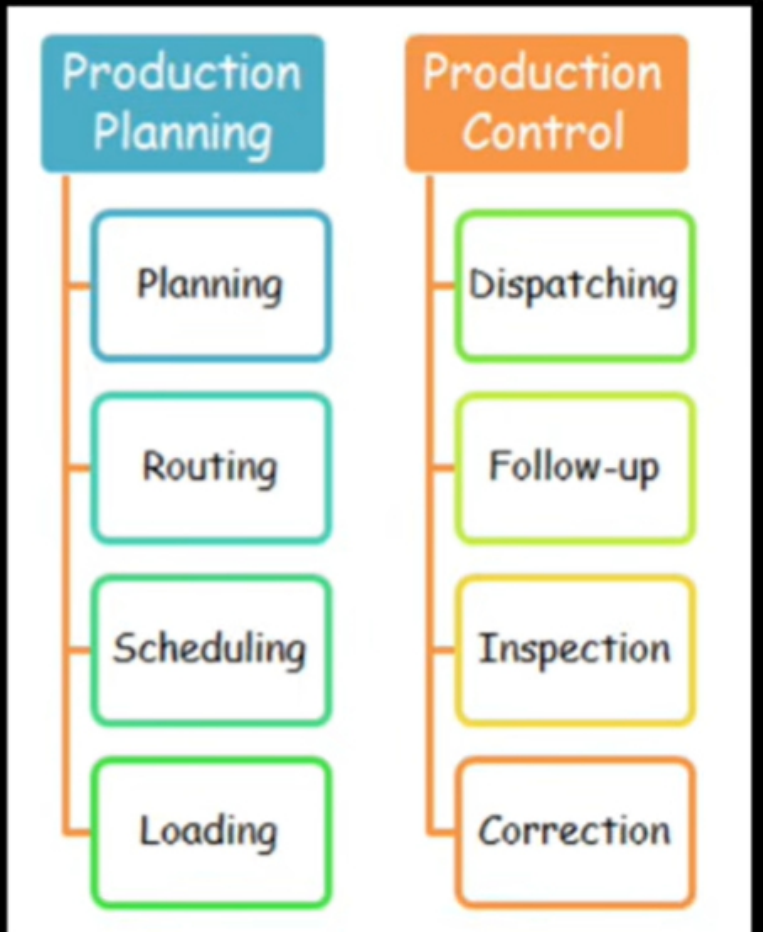
Checking the quality of the product.

Making sure the item is made correctly.

4. Correction

Fixing delays, defects, or problems in production.

Taking action to avoid future issues.



❖ What is Quality Control? (V.VIMP)

Quality Control (QC) means checking products to ensure they meet the **required quality standards**.

👉 Simple words:

Quality control makes sure the product is **good, safe, and free from defects** before it reaches customers.

❑ Why Quality Control is Important?

1. Ensures customer satisfaction

Good-quality products make customers happy.

2. Reduces waste and defects

Detects mistakes early and prevents loss.

3. Improves company reputation

High-quality products increase trust in the brand.

4. Increases sales and profit

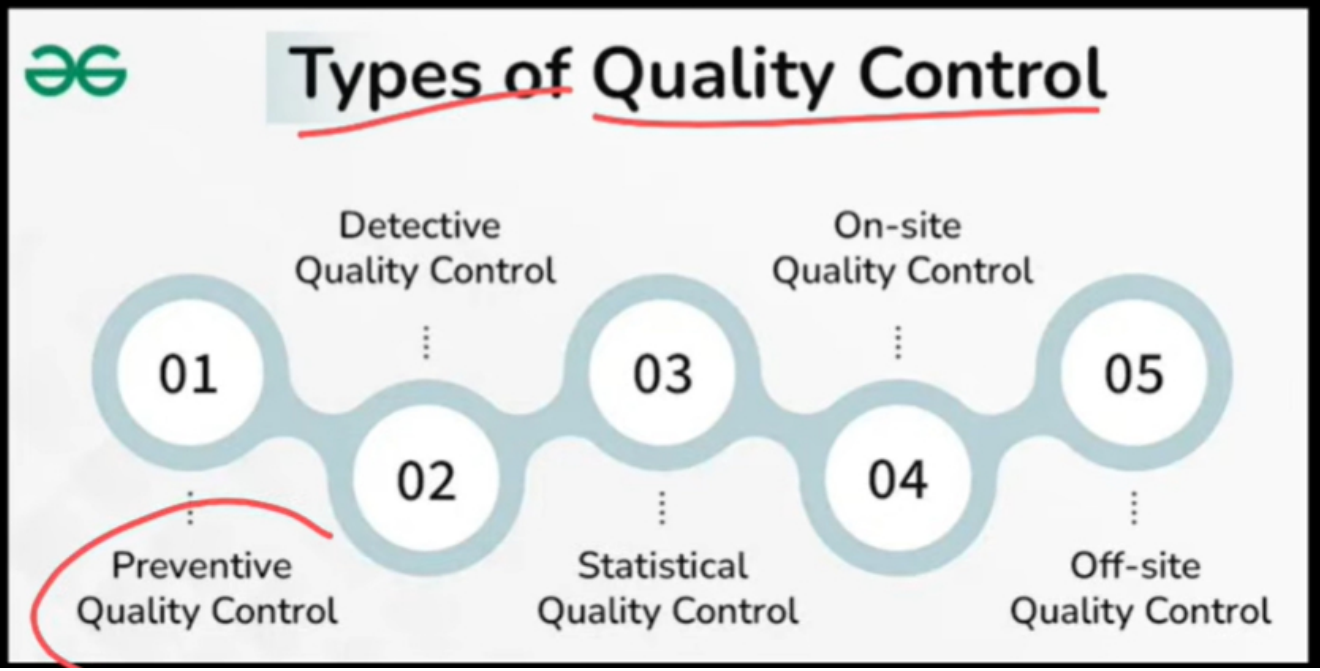
Better quality = more customers = more profit

5. Ensures safety

Important in food, medicine, and machinery industries.

6. Helps maintain standards

Keeps products consistent and reliable.



1. Preventive Quality Control

Done **before** production starts.
Purpose: to **prevent defects**.
Includes:

- Training workers
- Proper machine maintenance
- Using good raw materials

👉 **Simple:** Stop problems before they occur.

2. Detective Quality Control

Done **during or after** production.
Purpose: to **detect defects**.
Includes:

- Checking samples
- Inspecting finished goods

👉 **Simple:** Find mistakes after they occur.

3. Statistical Quality Control (SQC)

Uses **charts, graphs, and statistics** to measure quality.
Includes:

- Control charts
- Sampling inspection

👉 **Simple:** Quality checked using maths and data.

4. On-site Quality Control

Quality is checked **in the factory/workplace**.
Includes:

- Checking machines
- Testing raw materials
- Supervising workers

👉 **Simple:** Quality test done at the production



5. Off-site Quality Control

Quality is tested **outside the factory**, usually in a laboratory.

Includes:

- Lab testing of samples
- Chemical or advanced tests

👉 **Simple:** Products are taken to labs for checking.

❑ What are Wages?

Wages are the **payment given to workers** for the work they do.

It is usually paid **daily or weekly**.

👉 **Simple words:**

Wages = money paid to workers for their labour.

Examples:

- A worker earns ₹500 per day
- A carpenter earns ₹3000 per week

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❑ Why Wages Are Important?

- They motivate workers
- Help workers meet their daily needs
- Improve job satisfaction
- Attract skilled workers
- Reduce employee turnover (workers leaving the job)

❖ What Are Financial Incentives?

Financial incentives are **extra payments** given to workers in addition to wages to encourage better work.

👉 Simple words:

Financial incentives = extra money for extra effort.

Examples:

- Bonus
- Commission
- Overtime pay



❖ Role of Financial Incentives :

1. Motivates workers

Extra money encourages workers to perform better.

2. Increases productivity

Workers work faster and with more effort.

3. Reduces absenteeism

Workers come regularly because they get rewards.

4. Improves quality of work

When workers are rewarded, they try to avoid mistakes.

5. Helps the company achieve goals

Higher performance = more production = more profit.

6. Retains good workers

Skilled workers stay in the company because they feel rewarded.

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❖ What is Marketing?

Marketing means identifying what customers need and making products that satisfy those needs.

It includes activities like:

- finding customer needs
- designing products
- pricing
- promoting
- distributing the product

👉 Simple words:

Marketing is understanding customers and giving them what they want.

❖ Objectives of Marketing

1. Identify customer needs

Understand what customers want.

2. Satisfy customers

Provide the right product at the right time.

3. Increase sales

Use advertising, promotions, and good service.

4. Create a good image of the company

Build trust and brand value.

5. Earn profit

Satisfied customers increase profits.

6. Expand market

Reach new customers and new areas.

❑ Difference between marketing & Selling :

Marketing	Selling
Focus is on **customer needs**	Focus is on **company product**
Begins **before product is made**	Begins **after product is made**
Goal: **Satisfy customer**	Goal: **Sell the product**
Long-term relationship	Short-term focus
Emphasizes research, planning, promotion	Emphasizes pushing the product
Customer-oriented	Product-oriented



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❖ What is Industrial Relations?

Industrial Relations (IR) means the relationship between:

- **Employers** (management),
- **Employees** (workers), and
- **Government / Trade unions**.

👉 Simple words:

Industrial Relations is how workers and management work together peacefully in an industry.

Its main aim is to avoid conflicts and create a smooth working environment.

❑ Objectives of Industrial Relations :

1. Maintain peace in the industry

Avoid strikes, fights, and conflicts.

2. Improve worker–management cooperation

Both should work like a team.

3. Increase productivity

Good relations lead to more efficient work.



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4. Protect workers' rights

Ensure fair wages, safety, and good working conditions.

5. Resolve disputes quickly

Use negotiation or discussion to solve problems.

6. Promote industrial democracy

Workers get a chance to express their views.

❖ **Significance of Industrial Relations (Why It Is Important?)**

1. Ensures smooth working

No stoppages or strikes → continuous production.

2. Improves employee morale

Happy workers work better.

3. Increases company profit

Peaceful relations → higher output → more profit.

4. Reduces labour turnover

Workers stay longer, reducing hiring costs.

5. Improves quality of work

When workers and management cooperate, quality improves.

6. Creates healthy work environment

Less stress, more cooperation, better teamwork.

7. Helps national growth

Industries run smoothly → economy grows.

❖ **What is Inventory Control? (V.V.VIMP)**

Inventory Control means managing the materials, goods, and supplies in a business so that:
there is **enough stock** for production,
but **not too much stock** that money gets wasted.

👉 **Simple words:**

Inventory control = keeping the right amount of stock at the right time.



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❖ Objectives of Inventory Control :

1. Ensure continuous production

Make sure materials are always available so work never stops.

2. Avoid overstocking

Don't keep too much stock; it increases storage cost and wastage.

3. Avoid understocking

Don’t run out of stock; it stops production and delays delivery.

4. Minimize storage cost

Reduce expenses of warehousing, handling, and insurance.

5. Reduce wastage and spoilage

Old or extra materials may get damaged → inventory control avoids this.

6. Efficient use of working capital

Money invested in stock should be minimum.

7. Better customer service

Right stock ensures timely delivery of products to customers.

❑ Advantages of Inventory Control :

1. Uninterrupted production

Materials are always available → no production delay.

2. Less storage cost

Only required stock is kept → saves money.

3. Reduces wastage

Old, expired, and damaged inventory is minimized.

4. Improves cash flow

Less money is locked in stock → more money available for other uses.

5. Better planning

Helps plan purchases, production, and sales smoothly.

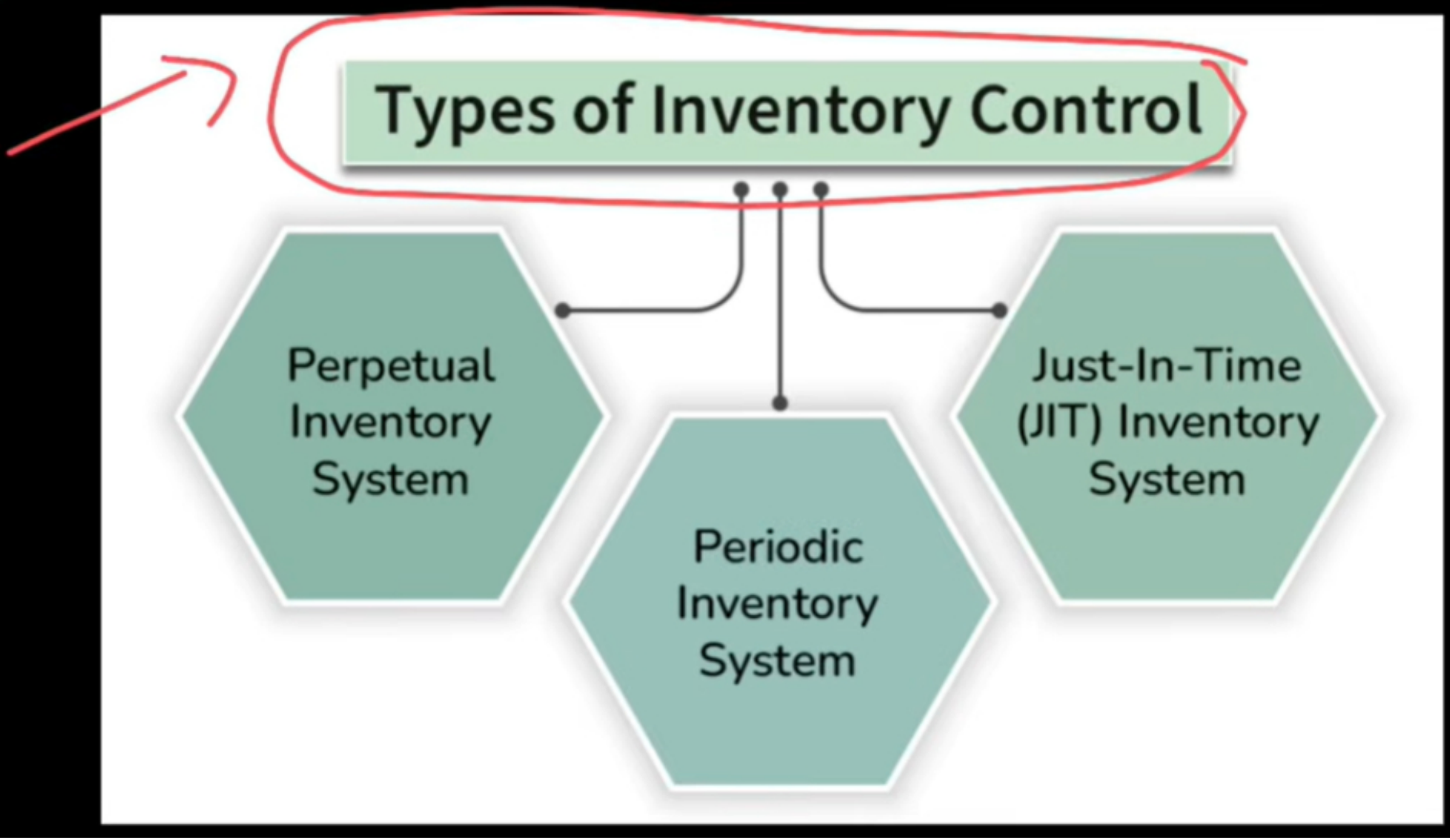
6. Avoids emergency purchases

No need to buy at high prices urgently because stock is well managed.

7. High customer satisfaction

Products are delivered on time → customers are happy.

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Types of Inventory Control
Perpetual Inventory System
Periodic Inventory System
Just-In-Time (JIT) Inventory System

1. Perpetual Inventory System

Stock records are updated **continuously** (after every purchase or issue).

Shows **real-time** quantity of inventory.

Uses: computers, barcode scanners, software.

👉 **Simple:** Stock is tracked **all the time**.

2. Periodic Inventory System

Stock is checked **at fixed intervals** (weekly, monthly, yearly).

No continuous tracking.

Physical counting is required.

👉 **Simple:** Stock is checked **from time to time**, not daily.

3. Just-In-Time (JIT) Inventory System

Stock is purchased **only when needed** for production.

Very little or **no inventory** is kept.

Reduces storage cost and wastage.

👉 **Simple:** Materials arrive **just in time**, not stored.

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❑ Techniques of Inventory Control :

1. ABC Analysis

Items are classified into **A, B, C** categories.

- **A-items:** Very costly, strict control
- **B-items:** Moderate value
- **C-items:** Low value, easy control

👉 **Simple:** Control important items more strictly.

2. Economic Order Quantity (EOQ)

It tells **how much quantity to order** each time.
Helps reduce ordering & holding cost.

👉 **Simple:** Order the **best quantity** that costs the least.

3. Safety Stock

Extra stock kept to avoid stock-out in emergencies.
Useful during delays or sudden demand.

👉 **Simple:** **Backup stock** for safety.

4. FIFO (First-In, First-Out)

- Items purchased **first** are used **first**.
- Useful for perishable goods (milk, medicine).

👉 **Simple:** Use **old stock first**.

5. LIFO (Last-In, First-Out)

- Items purchased **last** are used **first**.
- Useful in industries where old stock does not spoil.

👉 **Simple:** Use **new stock first**.



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❖ What is Inventory Turnover :

Inventory Turnover means **how many times a company sells and replaces its stock during a year.**

👉 Simple words:

It shows how fast goods are sold.

Higher turnover = stock is selling quickly

Lower turnover = stock is moving slowly

$$\text{Inventory Turnover} = \frac{\text{Cost of Goods Sold (COGS)}}{\text{Average Inventory}}$$

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❖ Advertising through television is favourable to big enterprises but affects small entrepreneurs – Explanation

Television (TV) advertising is one of the **most expensive** types of advertising.

Because of this, **big companies benefit more**, and **small entrepreneurs face problems**.

❑ Why TV Advertising Favors Big Enterprises?

1. High cost of TV ads

TV ads require:

- Expensive video production
- High payment for airtime
- Big companies can afford this, but **small entrepreneurs cannot**.

2. Large reach

TV ads reach millions of people across the country.

Big businesses benefit more because they sell on a large scale.

3. Brand image building

TV ads create a **strong brand image**.

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Big companies use celebrity endorsements and high-quality ads, increasing their market dominance.

❖ **How TV Advertising Affects Small Entrepreneurs?**

1. Small businesses cannot compete

They cannot spend as much money on advertising.

Customers mostly remember the big brands shown repeatedly on TV.

2. Loss of market share

Consumers prefer big brands because they see them often on TV.

Small businesses get **less attention** and **fewer customers**.

3. Big companies influence customer choices

Strong TV ads convince customers to buy branded products.

This makes it harder for new or small businesses to enter the market.

4. Creates unequal competition

Big companies grow faster

Small businesses struggle to survive.



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❑ What are Financial Reports?

Financial reports are statements that show the **financial performance and position** of a business.

They help owners, managers, banks, and investors understand:

- How much the business earned
- How much it spent
- What it owns
- What it owes

👉 **Simple words:**

Financial reports tell the financial health of a business.

❖ Main Types of Financial Reports :

1. Income Statement (Profit & Loss Account)

Shows:

- Revenue (income)
- Expenses
- Profit or loss of the business



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👉 **Simple:** It shows whether the business made **profit or loss**.

2. Balance Sheet

Shows:

- Assets (what business owns)
- Liabilities (what it owes)
- Capital

👉 **Simple:** It shows the **financial position** on a specific date.

3. Cash Flow Statement

Shows:

- Cash inflows (money coming in)
- Cash outflows (money going out)

👉 **Simple:** It shows how **cash is moving** in the business.

❑ **Why Financial Reports Are Important?**

- Helps in decision making
- Shows profit or loss
- Helps banks give loans
- Tracks business growth
- Helps in tax calculation
- Builds trust with investors

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❖ Preparation of Financial Reports : (V.V.V.VIMP)

Here are the **simple steps** followed to prepare financial reports:

1. Collect Financial Data

Gather all financial documents:

- Bills
- Invoices
- Receipts
- Bank statements
- Purchase & sales records

👉 **Simple:** Collect all money-related papers.

2. Record Transactions

Enter all transactions in books of accounts like:

- Journal
- Ledger
- Cash book 👉 **Simple:** Write down all money transactions properly.

3. Prepare Trial Balance

List all account balances to ensure:

- Debits = Credits

👉 **Simple:** Check if accounts are correct.

4. Prepare Profit & Loss Account

Calculate:

- Total income
- Total expenses
- Profit or loss

👉 **Simple:** Find out how much business earned.



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5. Prepare Balance Sheet

List:

- Assets
- Liabilities
- Capital

👉 **Simple:** Show what business owns and owes.

6. Prepare Cash Flow Statement

Show:

- Operating cash
- Investing cash
- Financing cash

👉 **Simple:** Show cash received and spent.

7. Review & Finalize

Check everything for accuracy and submit to:

- Management
- Investors
- Banks
- Government (for tax)

👉 **Simple:** Final check before presenting.



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❖ What are Accounts Studies?

Accounts studies refer to understanding how a business records, maintains, and manages its financial transactions.

👉 Simple words:

Accounts studies = learning how money comes in and goes out of the business.

It includes:

- Recording sales and purchases
- Maintaining cash book
- Keeping ledgers and journals
- Preparing financial statements
- Checking profit or loss
- Managing expenses and income

✔ Why Accounts Are Important?

- Helps know profit/loss
- Controls expenses
- Helps in decision making
- Required for loans and taxes
- Shows financial health of business

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❖ What are Stores Studies?

Stores studies refer to managing the materials, goods, and supplies in a business.

👉 **Simple words:**

Stores studies = learning how to receive, store, protect, and issue materials properly.

It includes:

- Receiving raw materials
- Proper storage and safety
- Maintaining stock records
- Issuing materials to production
- Preventing theft, damage, and wastage

✔ Why Stores Management Is Important?

- Ensures materials are available on time
- Reduces wastage and spoilage
- Saves storage cost
- Helps continuous production

❑ Components of Stores Studies :

1. Receipt of Goods

Checking quantity, quality, and condition of items received.

2. Storage

Keeping items properly in racks, shelves, or containers.

3. Issue of Materials

Giving materials to workers or departments when needed.

4. Stock Records

Maintaining stock registers and inventory books.

5. Stock Checking (Inventory)

Regular checking to ensure records match actual stock.